

Some resources do not occur naturally, but are produced from raw materials. These man-made resources, known as capital goods, include machinery, buildings like factories, and transportation such as railroads, which are used in the production and distribution of goods. To make these things, we need another kind of resource: labor. Human resources, in the form of working people, are a vital part of producing goods and services. In addition to physical labor, human resources include skills, knowledge, and information.

Managing resources

Each society has access to some or all of these resources. But it may also have a growing population, with needs and wants that are changing rapidly. Solving the problem of matching demand with limited resources involves making choices and decisions, and finding an answer to three basic questions. First, what goods and services should it produce? Many resources could be used to produce several different things. For example, land could be used to grow essential food crops, or grapes for wine, and a large building could be either a hospital or a luxury hotel. Second, how best can it produce goods and services? Some countries have few natural resources, but their large populations provide a strong labor resource. If they concentrate on the goods and services they can produce most efficiently, they can earn money to import the things they need. Third, who are the goods and services produced for? It isn't possible to produce everything that everyone needs or wants, so each society has to find a way of deciding who will benefit from its resources, and how the goods and services are distributed among its members.